

IBA Guidelines on Conflict of Interest in International Arbitration

The 2004 Guidelines listed specific situations designated red, orange and green with the aim of illustrating the General Standards for determining conflict of interest.

- The red list indicates situations which amount to conflict of interest
- The green list indicates situations that do not create conflict of interest or appearance thereof
- The orange list may depending on the facts of a given case raise justifiable doubt, therefore a disclosure pursuant to GS-3 has been mandated.

GS - 1

It requires that the arbitrator be impartial and independent of the parties at the time of accepting an appointment to serve in a tribunal and shall remain so until the final award is rendered.

- The arbitrator's obligation in this regard ends when the tribunal is rendered its final award or the proceedings have otherwise terminated
- If after setting aside the dispute is referred back to the same tribunal, a fresh round of disclosure will be necessary

GS - 2

1. An arbitrator shall decline an appointment or refuse to continue as an arbitrator if he has any doubts as to his impartiality or independence
2. If certain facts or circumstances have arisen since the appointment, which to a reasonable person would give justifiable doubts to the impartiality of the arbitrator, he must decline his appointment or continue to act.
3. Doubts are justifiable if a reasonable third person would reach to the conclusion that the arbitrator is likely to be influenced by factors rather than the merits of the case.
4. A situation in the non-waivable red list is assumed to create a justifiable doubt.

The phrase impartiality or independence is derived from the UNCITRAL Model Law. Article 12 also adopts a reasonable third person test.

If the circumstances are akin to those described in the Waivable Red List, then an arbitrator is not ipso facto rendered incapable to continue. He must make a disclosure under GS-3 and let the parties decide.

GS - 3

1. If there are circumstances that may give rise to doubts, the arbitrator shall disclose such facts to the parties, the institution or the appointing authority and the co-arbitrators prior to accepting the appointment or as soon as the arbitrator learns of this.
2. A declaration or waiver in advance does not discharge the arbitrator of the continuous duty of disclosure under (1).
3. Arbitrators who have made disclosure and consider themselves to be impartial and independent under GS-1 and GS-2 shall be capable of continuing to function as arbitrator.
 - Disclosure does not imply the existence of conflict of interest. Arbitrators who have (1) disclosed the relevant facts and circumstances that could lead to justifiable doubts (2) having decided that these circumstances do not impair their judgment **must be allowed to continue unless the parties feel that he must be disqualified.**
4. Dispute concerning whether or not to disclose should be resolved in favour of disclosure.

5. If the arbitrator finds that he should make a disclosure, but the rules of practice or secrecy prevent such disclosure. He should not accept the appointment or should resign.

GS - 4

1. If within thirty days after receipt of disclosure or the party otherwise learns of facts and circumstances that could cause a potential conflict of interest **such party does not raise an express objection** subject to (2) and (3) the party is **deemed to have waived** any potential conflict of interest and cannot raise such an issue at a later stage.
2. If facts exist as described in the non-waivable Red List, any waiver by a party shall be regarded as invalid.
3. A person cannot be an arbitrator where a conflict of interest in the waivable red list exists. Nevertheless, the appointment may continue if **other arbitrators institutions appointing authority have full knowledge** of the conflict of interest and **parties agree that such person may continue** to serve an arbitrator despite conflict.
4. An arbitrator **may assist the parties through conciliation at any stage**. However, the **arbitrator should receive an express agreement** that acting in such manner shall not disqualify the arbitrator from continuing to serve as an arbitrator. The agreement is considered to be **effective waiver of conflict of interest from the arbitrator's participation in such process**.
 - This has been provided because in some jurisdictions arbitral tribunal assisting its parties in reaching a settlement is not allowed. **However, if informed consent by the parties to the process prior to its beginning is obtained, it is effective as a waiver of potential conflict of interest.**
 - It should also not be used as a means of disqualifying the arbitrator and therefore the waiver should remain effective even if the settlement process is unsuccessful

GS - 5

This standard in substance states that the guidelines apply to tribunal chair, sole arbitrator, co-arbitrator, howsoever appointed, the secretaries and assistants to the tribunal are also bound by the same duty of independence and impartiality as it is for the Tribunal.

GS - 6

1. Generally the arbitrator is considered to bear the identity of the employer, however when determining potential conflict of interest, the activities of the law firm or employer, the organizational structure, mode of practice, etc. should not be involved. Therefore, the activities of the employer shall not constitute as a source of such conflict of interest
 - The objective of this is to ensure that activities of the arbitrators, employer or law firm should not automatically create a conflict of interest.
2. Where a legal entity or natural person has a **controlling influence**, or **direct economic interest or duty to indemnify** a party to the arbitration, the party in the proceeding must be considered as a representative of the former, controlling or interested party.
 - Intention here is simply that in order to truly ascertain whether there is conflict of interest, its related parties which may by function of law appear distinct, but are in substance having a controlling influence should be considered as being represented in the arbitration tribunal and therefore conflict of interest analysis must also be undertaken qua such controlling parties
 - A has a direct economic interest in B. The dispute between B and C is referred to arbitration. In such proceedings, B is deemed to be a representative of A. This materially changes the "conflict of interest" analysis to be undertaken.

3. Any legal entity over which a party has controlling influence may be considered to bear the identity of such party.
 - Where a parent company is a party to the proceeding, the subsidiary company may be considered to bear the identity of the parent company.
 - Where a natural person is the party to the proceeding. A company closely held by them on which they have controlling influence is considered to bear their identity.

GS - 7

1. Party shall inform the arbitrator, the tribunal, other parties and the arbitration institution of the relationship between the arbitrator and
 - The party
 - The group of company
 - Person having controlling influence on the party
 - Person on which the party has controlling influence
 - Party or entity with an interest in the award to be rendered
 - Or any other person which it believes an arbitrator should take into consideration while making disclosure under GS-3.
2. Parties shall inform the arbitrator, the tribunal, other parties and the institution of the identity of counsel appearing for the arbitration as well as of any relationship between the council and the arbitrator on its own initiative
3. Arbitrator is under the duty to make reasonable inquiry to identify any conflict of interest as well as facts and circumstances that may give rise to the arbitrator's impartiality
4. Failure to disclose is not excused by lack of knowledge if the arbitrator does not perform such inquiry
5. Parties must also perform reasonable inquiries to provide relevant information available

Practical Standards

- The red list contains of two parts: non-waiveable and waiveable. - These lists are not exhaustive, and give instances of certain situations which, depending on the facts of the case, can give rise to justifiable doubt regarding the independence and impartiality of the arbitrator.
- The orange list consists of situations that depending on the facts of the case may give rise to doubts on the impartiality and independence. However, the arbitrator is only to make a timely disclosure. They do not ipso facto lead to disqualification. Parties can waive them if no timely objection is made.
- Non-disclosure by itself does not make an arbitrator lacking independence. The facts and circumstances and the information that was not disclosed must be taken into consideration.
- In respect of the situations listed in the orange list, there is no presumption that there must always be disclosure. It must be decided on a case-to-case basis whether such disclosure is required in a given situation. At the same time there may be conditions which are not mentioned in the list but still require disclosure by the arbitrator.

Non-Waivable Red List

There are only four non waivable situations enumerated in the IBA guidelines

1. There is an identity between party and the arbitrator or arbitrator is legal representative, employee of a person that is party to the arbitration.

2. Arbitrator is **manager, director, member of the supervisory board** or has **controlling influence** over one of the parties to the arbitration, or over a party that has **direct economic interest** in the award rendered
3. Arbitrator has financial or personal interest in the parties or the outcome of the case
4. Arbitrator **currently or regularly advises** party or an *affiliate* of a party and the **employer of the arbitrator** derives **significant financial** income therefrom.